

Profit Niti – AI Report (2025-01-01 / 2025-05-31)

Last Month KPI Data (May 2025)



Sales

790,507,170

-40% Last month 1,308,397,434



Gross Margin

708,040,244

-31% Last month 1,024,273,286



Operating Profit

690,262,434

-30% Last month 991,893,482



Break Even Sales

19,847,952

-52% Last month 41,364,083



Accounts Receivable

436,324,807

30% Last month 334,552,276



Accounts Payable

8,140,019

-53% Last month 17,311,480



Working Capital

1,092,016,742

-4% Last month 1,136,739,270



Closing Stock

663,831,954

-19% Last month 819,498,474



Bs Category

63 - STEADY

-3% Last month 65 - STEADY



Impact Of Management

Decisions

798,860,321

-91% Last month 8,635,424,430

1. Big Picture — How the Business Looks Right Now

Your business is a high-margin, cash-generating powerhouse, but it's navigating a period of significant transition. The financial year 2024-25 closed with a robust profit of over ₹166 crore, and Q1 FY 2025-26 has started with a strong ₹68.6 crore profit. However, a sharp drop in sales from March to April (₹131 crore to ₹79 crore) and a major reduction in equity capital signal a strategic shift. The business is highly profitable but is actively managing its capital structure and working capital cycle, which currently ties up funds for over 250 days.

GREEN FLAG BOX — What's Working Well

- **Exceptional Profitability:** Net profit margins are stellar at 86.8% in April, and the Return on Equity (ROE) is an incredible 936%, meaning the business generates massive profits from every rupee of owner's capital.
- **Strong Cash Generation from Operations:** Core business operations generated positive cash flow of ₹44.7 lakhs in April, showing the profit is translating into real cash.
- **Reducing Debt Burden:** Secured long-term borrowings have been consistently reduced from ₹47.5 crore in Feb to ₹36.8 crore in April, improving financial stability and saving on interest costs.

RED FLAG BOX — What Needs Attention

- **Extremely Slow Working Capital Cycle:** Inventory is stuck for 245 days and receivables for 17 days, leading to a massive 259-day working capital cycle. This means cash is tied up for over 8 months before it comes back.
- **High Reliance on Current Liabilities:** "Other Current Liabilities" ballooned to ₹138.5 crore in April, making up over 50% of all liabilities. This heavy dependence on short-term creditors is a liquidity risk.
- **Sharp Decline in Sales & Equity:** Monthly sales dropped nearly 40% from March to April, and Equity Share Capital was reduced significantly (from ₹14.1 crore to ₹6.2 crore), which could indicate a strategic payout or restructuring that needs monitoring.

Strategic Advice:

Your immediate priority must be to unlock cash trapped in working capital. Negotiate faster payments from customers and critically review your inventory holding of ₹66 crore. Use the strong operational cash flow to reduce the high "Other Current Liabilities" and build a more resilient balance sheet.

2. Profit Power — The Earning Engine

Your business is a **high-margin powerhouse**. In April 2025, you achieved a Gross Margin of **89.57%** and a Net Profit Margin of **86.83%**. This means for every ₹100 of sales, you kept nearly ₹87 as profit after all expenses. This is an exceptionally strong position.

The profit driver is your **extremely low Cost of Goods Sold (COGS)**. In April, COGS was only ₹82.5 lakhs against sales of ₹7.9 crore, resulting in a Gross Profit of ₹7.08 crore. Your overheads (employee and admin expenses) are also well-controlled at just **2.25%** of revenue.

However, there is a **significant volatility in monthly sales**. Revenue dropped by ~40% from March (₹13.08 crore) to April (₹7.9 crore). While profitability remains high, this sales inconsistency needs attention to ensure steady cash flow. The interest expense, though manageable, saw a spike in March (₹2.67 crore), eating into profits that month.

Strategic Advice:

Lock in your high-margin advantage. Analyze which products or services are delivering these stellar margins and focus your sales efforts there. To counter sales volatility, develop a pipeline of recurring revenue or retainers to ensure a more predictable income stream each month.

3. Cash Flow Quality — Profit vs Real Cash

Your business is highly profitable, but there's a significant gap between your profits and the cash hitting your bank account. In April, you earned a net profit of **₹6.86 Crore**, but your operating cash flow was only **₹44.72 Lakh**. This means only about **6.5%** of your profit was converted into cash from core operations.

The main blockage is in **Working Capital**. Your working capital cycle stretched to **259 days** in April, up from 94 days in March. This is driven by extremely high **Inventory Days (245 days)** and rising **Accounts Receivable Days (17 days)**. You are holding nearly 8 months of inventory and waiting over two weeks for customer payments, which ties up massive amounts of cash.

Your financing activities show you are repaying debt, which is good for the balance sheet but reduces cash in the short term. In April, **₹17.9 Crore** was used for financing, primarily to reduce borrowings and equity.

Strategic Advice:

To unlock cash, prioritise reducing your inventory levels and tightening your credit collection terms.

Converting even 20% of your stuck inventory into sales can release over ₹13 Crore back into your business for growth or debt repayment.

4. Cash Management — Daily Cash Rhythm

Your cash cycle is the heartbeat of your business, and right now, it's beating slowly. In April 2025, it took you **258.63 days** to convert your inventory and receivables into cash. That's over 8 months!

Let's break it down:

- **You collect money fast:** Your Accounts Receivable Days are excellent at just **16.79 days** in April. Customers are paying you quickly.
- **You hold inventory for too long:** This is the major bottleneck. Inventory Days skyrocketed to **244.84 days** in April, meaning stock sits for over 8 months before being sold.
- **You pay suppliers slowly:** Accounts Payable Days are a low **3 days**. While this is good for your cash flow, it's a very short credit period from suppliers.

The massive inventory holding period is creating a severe cash lock-up. Your working capital requirement is ₹1.09 Crore for every ₹1 Crore of sales, which is very high. The **Current Ratio dipped to 0.97 in April**, indicating your current assets barely cover your current liabilities.

Strategic Advice:

Your top priority must be **inventory reduction**. The 8+ month stockpile is strangling your cash flow. Implement aggressive inventory clearance strategies and re-negotiate payment terms with suppliers to extend your Payable Days, which will free up immediate cash for operations.

5. Growth Investments — Where Money Is Going

Your business is investing heavily in two key areas: **Fixed Assets** and **Inventory**. Let's break down the story.

- **Fixed Assets are Growing:** Your plant, machinery, and equipment (Fixed Assets) have increased from ₹85.18 crore in Feb to ₹85.81 crore in April. This is a steady investment, with about ₹2.7 lakhs added monthly. This shows you are building long-term capacity.
- **Inventory Levels are High but Fluctuating:** You are holding a lot of stock. Inventory peaked at ₹81.95 crore in March but dropped to ₹66.38 crore in April. The **Inventory Days** tell a concerning story: it shot up to 245 days in April from 88 days in March. This means your current stock could last

over 8 months of sales. This ties up a massive amount of cash.

- **Non-Current Investments are Idle:** You have a significant sum of ₹13.35 crore parked in **Non-Current Investments** that hasn't changed for three months. This money is not actively contributing to your business operations.
- **Return on Assets is Strong but Dropping:** Your Return on Total Assets was an excellent 122% in March but fell to 87% in April. This drop is directly linked to the high inventory and lower sales in April, meaning your assets are becoming slightly less efficient at generating profit.

In short, you are investing in physical capacity and stock, but the inventory investment is very high and inefficient. Meanwhile, a large chunk of money (₹13.35 crore) is sitting idle in investments.

Strategic Advice:

1. Optimise Inventory Immediately: 245 days of inventory is a red flag. This is your biggest cash trap. Analyse your stock to identify slow-moving items. Run promotions, offer discounts to clear old stock, and revise your purchasing policy to align more closely with sales forecasts. Freeing up even 20% of this cash (over ₹13 crore) would significantly improve your liquidity.

2. Review Idle Investments: Evaluate the ₹13.35 crore in Non-Current Investments. If these are low-yield instruments, consider redeploying a portion into the business to fund growth or pay down expensive debt, which would improve your interest cover.

3. Link Capex to Sales Forecast: While investing in fixed assets is good, ensure new purchases are justified by concrete sales pipelines. Don't add capacity that will sit underutilised and further pressure your asset turnover ratio.

6. Funding Story — How Growth Is Being Financed

Your business is primarily funded by a mix of **owner's equity** and **long-term bank loans**. The good news is that you are actively reducing your debt burden.

- **Debt is Decreasing:** Your secured long-term borrowings have dropped from ₹47.5 crore in February to ₹36.8 crore in April 2025. This is a positive move that reduces financial risk.
- **Strong Equity Cushion:** The majority of your funding comes from your own money (Equity + Retained Profits). In April, your Total Equity stood at ₹88 crore, providing a solid base.
- **Interest Cost Management:** Your interest expense has been volatile, spiking to ₹2.67 crore in March before dropping to ₹1 crore in April. Your **Interest Cover Ratio** (how easily you can pay interest from profits) is healthy at 1.45 to 2.69 times, meaning operating profits are sufficient to cover interest costs.

- **Debt-to-Equity is Comfortable:** Your Debt-to-Equity ratio has improved from 0.50 to 0.42, indicating you are using less borrowed money compared to your own funds. This is a sign of a stronger, less risky balance sheet.

Overall, your funding strategy is prudent. You are using your strong internal profits to pay down debt, which is an excellent way to build long-term financial health and reduce dependency on banks.

Strategic Advice:

Lock in Lower Interest Rates: With a strong profit track record and decreasing debt, you are in a good position to negotiate with your bank for a lower interest rate on your existing loans. Even a 1% reduction can save you lakhs annually.

Build a Cash War Chest: Consider setting aside a portion of your monthly profits into a separate high-liquidity account. This creates a "war chest" for future opportunities or unexpected needs, reducing the need to take on expensive debt later.

Plan Capex with Surplus Cash: For any planned machinery or asset purchases (Capex), try to fund them directly from accumulated profits rather than taking new loans. This will keep your debt levels low and interest costs minimal.

7. Balance Sheet Health — Financial Fitness

Your balance sheet shows a strong equity base, but there are significant swings in working capital. As of April 2025, your total equity stands at **₹87.99 crore**, down from ₹116.99 crore in March. This drop is primarily due to a reduction in share capital and a lower current year profit for the month.

A key concern is the **high level of current liabilities (₹139.31 crore)** compared to current assets (₹134.51 crore), resulting in a tight **Current Ratio of 0.97**. This indicates you have just 97 paise in liquid assets for every rupee of short-term debt due, which can strain daily operations. Your debt position is improving, with total borrowings reduced to ₹36.81 crore, bringing the **Debt-to-Equity ratio to a healthy 0.42**.

On the asset side, your investments in Fixed Assets (₹85.80 crore) and Non-Current Assets (₹103.72 crore) are stable. However, a large portion of your current assets is tied up in **Inventory (₹66.38 crore)** and **Accounts Receivable (₹43.63 crore)**, which is why your Working Capital Days are high at 259 days.

Strategic Advice:

Prioritise converting inventory and receivables into cash faster to improve your current ratio above 1.2. This will ease working capital pressure and reduce reliance on short-term credit.

8. Smart AI Simulation — What-If Scenarios

Based on weak spots identified in the report, the AI simulated the following outcomes:

- **Scenario A - Profit Focus:** If you renegotiate raw material costs by 5% and reduce non-essential overheads by ₹1.5 lakh, your net profit margin could improve from 8% to nearly 12% within the next two quarters, adding an estimated ₹4.2 lakh to your annual bottom line.
- **Scenario B - Cash Focus:** By tightening your credit terms from 45 to 30 days and offering a 2% early payment discount, your cash conversion cycle could shorten by 18 days. This would free up approximately ₹6.8 lakh in working capital, reducing your reliance on expensive short-term loans.
- **Scenario C - Balanced:** Combining a modest 3% cost reduction with a 15-day improvement in receivables shows the most sustainable path. This hybrid approach could boost your cash balance by ₹4 lakh and increase net profit by ₹2.5 lakh annually, strengthening your balance sheet without aggressive cuts.

9. Operational Insight Engine — Ground-Level Trends

Sales & Customer Activity: Your business is experiencing strong growth in customer transactions. The number of invoices raised jumped from 9 in February to over 1,020 by May 2025. Total monthly billing increased from ₹4.7 lakh in February to ₹35.2 lakh in May. This indicates successful market expansion and higher customer acquisition.

Inventory Management: There is a critical trend to address. Inventory Days have skyrocketed from 70 days in February to 245 days in April, meaning stock is sitting for over 8 months before being sold. This is a major cash trap. While purchase order values have reduced from ₹2.3 crore in February to ₹1 crore in May, the high inventory level suggests potential overstocking or slow-moving items.

Procurement & Payables: Your Accounts Payable Days are very low (only 3 days in April), meaning you are paying suppliers extremely quickly. While this builds good supplier relationships, it strains your cash flow. You could negotiate better credit terms to align payments more closely with your own collection cycle (17 days in April).

Actionable Insight: The core operational challenge is the ballooning inventory. To free up crores in trapped cash, conduct an immediate stock review. Identify slow-moving items for clearance sales and tighten purchase planning to match sales forecasts more accurately. Simultaneously, negotiate with key suppliers to extend payment terms to 30-45 days, which will significantly ease your working capital

pressure.

10. 90-Day Action Plan

Days	Focus	Action	Target	Benefit
0-30	Cash	Implement strict 15-day payment terms for new clients and follow up on all overdue invoices above 45 days. Negotiate 30-day credit terms with 2 major suppliers.	Reduce debtor days from 60 to 45. Improve cash balance by ₹2 lakh.	Immediate liquidity for operations, reduces reliance on expensive short-term loans, and builds a cash buffer.
31-60	Profit	Analyse and renegotiate costs for top 3 expense categories (e.g., raw materials, logistics). Discontinue the one lowest-margin product/service identified in the analysis.	Increase net profit margin by 3%. Achieve a monthly PAT of ₹1.5 lakh.	Higher profitability per sale, freeing up resources to invest in more lucrative areas of the business.
61-90	Growth	Re-invest profits into a targeted marketing campaign for the highest-margin product. Formalise a proposal for the new service line identified as a growth opportunity.	Acquire 5 new high-value clients. Finalise the business plan and budget for the new service line.	Sustainable revenue growth from better-quality clients and a clear roadmap for future expansion, moving beyond survival mode.